September data shows that Turkey's large current account surplus is attributable to a moderation in domestic demand and lower net gold imports. Its capital account, on the other hand, saw outflows amid volatility in investment funds



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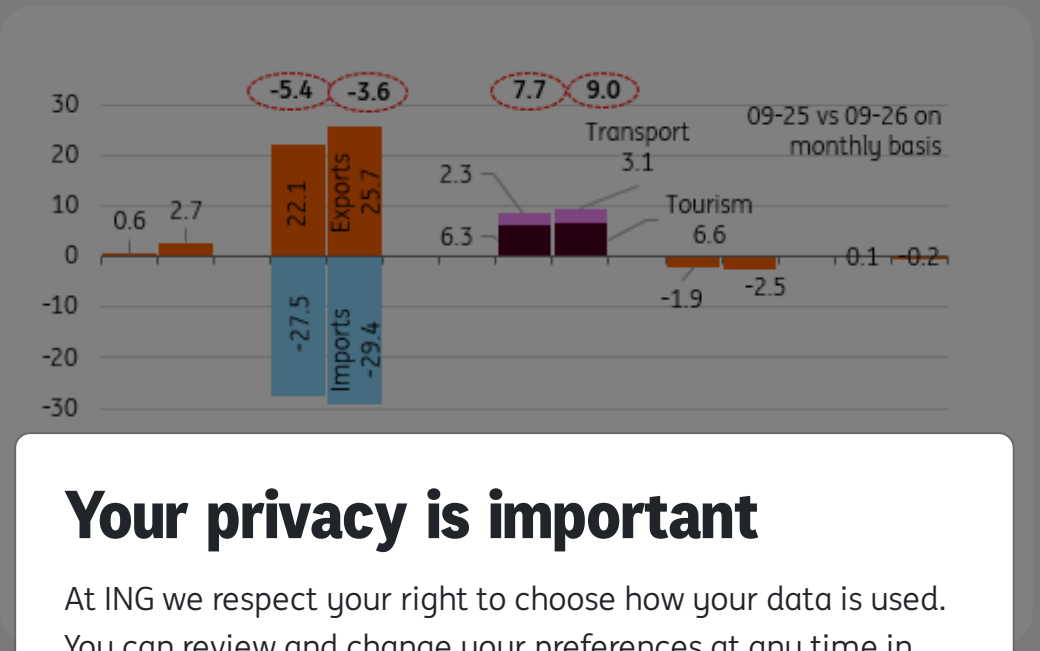
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Turkey's surplus widened in September to US$2.7bn, almost in line with consensus. This is versus a mere $0.6bn in the same month last year, narrowing the 12-month rolling current account deficit to $39.2bn – approximately 2.4% of GDP – from $41.3bn a month ago.

A closer look at the monthly figures shows that the growing surplus was primarily due to a lower trade gap, which improved from -$5.4bn to -$3.6bn on the back of a) an increase in core trade surplus and b) gold trade turning positive, despite a deterioration in energy trade balance as the US-Iran war has pushed energy prices up. Higher services income, more than offsetting deterioration in

the primary and secondary income balances, also contributed to the current account's rising surplus.

Breakdown of the current account (US$bn)



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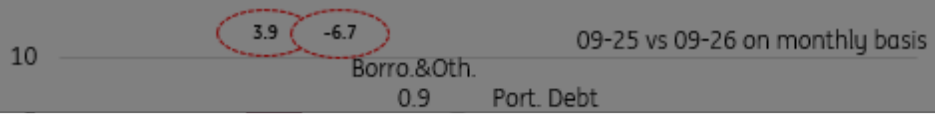
the weakness in August. With slight inflows from net errors and omissions of $1.0bn, and considering the current account balance, official reserves depleted by $10.0bn.

Further analysis reveals that resident activity led to outflows totalling $7.0bn, primarily from continuing acquisition of portfolio assets and higher deposits abroad. Non-residents reduced their Turkey exposure by cutting their investments in funds by $5.8bn following the local fund shock and deposits held at local banks by $1.1bn.

On the flip side, net borrowing has continued with another $1.7bn increase in September. In the breakdown of net borrowing,

corporates secured higher long-term financing, while banks were net payers both in the short and long term. This translates into long-term debt rollover ratios at 240% for corporations and 88% for banks on a monthly basis, compared to 216% and 144%, respectively, on a 12-month rolling basis. On the corporate side, an acceleration in rollover rates since mid-2025 towards 200% levels and above is attracting attention.

Breakdown of financing (US$bn)



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almost tripled at $17.4bn, but remained well below the cumulative current account deficit.

In addition, outflows via net errors and omissions remained elevated, totalling -$10.4 bn vs $1.9bn in inflows in 2025. Taken together with the widening current account deficit, which grew from -$19.1bn to -$28bn, official reserves were eroded by $20.9bn vs a $11.5bn fall recorded a year earlier.

Overall, the September data shows that Turkey's large surplus is attributable to a moderation in domestic demand and lower net gold imports, which helped offset the widening

net energy trade deficit driven by higher energy prices. Preliminary customs data from the Ministry of Trade points to a higher surplus in the October current account and a further improvement in the 12-month rolling deficit.

In the months ahead, the trajectory of the current account balance is expected to be influenced by a mix of external risks alongside domestic demand conditions. Here, any signs of a potential US-Iran agreement being reached would support easing pressure on energy prices.

Turkey | Net errors & omissions | Current Account

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